DIRECTORS' REPORT

To,
The Members
Dow Chemical International Pvt. Ltd.

Your Directors present their 17th Report of the Company together with the audited Statements of Account of the Company for the Financial Year ended March 31st, 2016.

1. Financial Highlights:

Particulars	Amount Rupees in Crores	
	2015-16	**2014-15**
Gross Income	2,899	1,999
Profit Before Interest and Depreciation	238	181
Finance Charges	29	29
Gross Profit	795	671
Provision for Depreciation	0	0
Net Profit Before Tax	138	136
Provision for Tax	69	44
Net Profit After Tax	69	92
Balance of Profit brought forward	266	174
Balance available for appropriation	335	266
Transfer to General Reserve	-	-
Surplus carried to Balance Sheet	335	266

2. Financial performance:

The gross income of your company, for the year under review at Rs 2,785 Crores recorded a commendable increase of 40% as compared to Rs.1980 Crores in the previous year, however, the profit after tax for the year at Rs. 69 Crores took a fair beating as compared to Rs.92 Crores in the previous year.

3. **Amalgamation of Rohm And Haas (India) Pvt. Ltd. with the Company:**

During the year under review Rohm And Haas (India) Pvt. Ltd a fellow subsidiary of the Company was amalgamated into the Company pursuant to the scheme of amalgamation as approved by the Hon'ble High Court, Judicature at Bombay vide its order dated January 22; 2016.

4. **Dividend:**

Your Directors are pleased to recommend a final dividend of Rs. 404.24 per equity share aggregating Rs. 1,400,004,796.24 on the paid-up capital of 3,463,301 equity shares of Rs. 10/- each which is provided for in the accounts and, if declared, at ensuing Annual General Meeting the same shall be paid to the Members of the Company.

5. **Directors and Key Managerial Personnel:**

During the year under review Mr. Michel Barrier resigned as Director of the Company effective December 14, 2015. The Directors place on record their sincere appreciation for the services rendered by Mr. Michel Barrier during his association with the Company.

Mr. Saju Joseph and Mr. T Raghunathan were appointed as Additional Director on the Board of the Company effective February 8, 2016.

Mr. Saju Joseph has resigned from the Board effective August 24, 2016.

Pursuant to Section 161 of the Companies Act, 2013 (Act) Mr. T Raghunathan shall hold office till conclusion of ensuing annual general meeting and offer himself for re-appointment as Directors at the ensuing annual general meeting. The resolution seeking approval of members for appointment of Mr. T Raghunathan as Director forms a part of the notice convening the seventeenth Annual General Meeting.

6. **Number of Meetings of the Board:**

During the year under review, six meetings of the Board of Directors were held on April 30, 2015, August 12, 2015, September 4, 2015, December 18, 2015, February 8, 2016 and March 30, 2016.

7. **Subsidiaries, Joint venture & Associate Companies:**

The Company does not have any subsidiary, joint venture or an associate company.

8. **Deposits:**

The Company has not accepted any deposit from the members or public covered under the provision of Chapter V of the Companies Act, 2013

9. **Material Changes and commitments, if any, affecting the financial position of the Company which have occurred between the end of the financial year of the Company to which the financial statements relate and the date of the report:**

No material changes have occurred between the financial year ended on March 31, 2016 and date of this Board Report that affect the financial position of the Company.

10. **Details of significant and material orders passed by the regulators/ courts/ tribunals impacting the going concern status and the Company's operation in future:**

No significant and material orders were passed by the regulators or courts or tribunals impacting the status of the Company as a going concern or its future operations.

11. **Conservation of energy, technology absorption and foreign exchange earnings and outgo:**

The details of conservation of energy, technology absorption, foreign exchange earnings and outgo are as follows:

a) **Conservation of energy**

Careful monitoring and control of all plant operations and its attached utilities and preventive maintenance has resulted in stabilizing the consumption of electricity. The Company does not have immediate plans for any additional investment in utilization of alternate sources of energy.

(b) **Technology absorption**

Not applicable.

(c) **Foreign exchange earnings and Outgo**

During the year, the total foreign exchange used was Rs. 1374 Crores and the total foreign exchange earned was Rs. 574 Crores.

12. **Statement indicating development and implementation of a risk management policy including identification of risk, if any which in opinion of the Board may threaten the existence of the Company:**

The Company has developed and adopted a robust risk management policy. In the opinion of the Board, there are no identifiable risks which could impact the existence of the Company or its business operation.

13. **Extract of Annual Return:**

Pursuant to Section 92 (3) of the Companies Act, 2013 the extract of Annual Return, in prescribed form MGT- 9 is enclosed with this Report as **Annexure - I.**

14. **Corporate Social Responsibility (CSR):**

The Company has actively supported various initiatives in the areas of health, education and environment over the years.

The CSR Policy adopted by the Board of Directors is available on the Company's website www.dow.com/imea/india/comm. The CSR Committee has a structured the CSR program.

The annual performance Report on Corporate Social Responsibility activities of the Company is annexed herewith as **Annexure - II**

15. Internal control system and their adequacy:

The Company maintains appropriate systems of internal control, including monitoring procedures, to ensure that all assets are safeguarded against loss from unauthorized use or disposition. Company policies, guidelines and procedures provide for adequate checks and balances and are meant to ensure that all transactions are authorized, recorded and reported correctly and timely.

16. Statutory Auditors:

M/s Deloitte, Haskins and Sells LLP, Chartered Accountants, (Registration No. 117366/W/W-100018) Statutory Auditors of the Company retire at the end of ensuing annual general meeting and being eligible, offer themselves for re-appointment. The Board recommends their re-appointment.

17. Auditors' report:

The Auditors' Report does not contain any qualification. Notes to Accounts and Auditors remarks in their report are self-explanatory and do not call for any further comments.

18. Cost Audit:

The Directors have re-appointed Mr. Kirshor Ajitshi Bhatia, Cost Accountants, as Cost Auditors to audit the cost accounting records of the Company for the financial year 2016-2017.

19. Particulars of loans, guarantees or investments under section 186:

As on March 31, 2016, there were no outstanding loans or guarantees covered under the provisions of Section 186 of the Companies Act, 2013.

20. Particulars of contracts or arrangements with related parties:

All the transactions/contracts/arrangements of the nature as specified in Section 188(1) of the Companies Act, 2013 entered by the Company during the year under review with related party (ies) are in the ordinary course of business and on arms' length basis. Hence, Section 188(1) is not applicable and consequently no particulars in form AOC-2 are furnished.

21. Disclosure as per (Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressed) Act, 2013:

The Company having zero tolerance to sexual harassment at workplace and for that matter any kind of harassment has spread the awareness of the Act among its employees. One complaint was received during the year under review, which was thoroughly investigated, however the findings and evidence did not prove the alleged harassment.

22. Human Resources:

Your Company believes that the key to attaining success are its people. Accordingly, it continues to focus its efforts towards training and development of the employees at all levels. During the year under review the industrial relations remained cordial.

23. **Directors' Responsibility Statement**

Pursuant to Section 134 of the Act, the Directors state that:

(a) In the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures, if any;

(b) Appropriate accounting policies have been selected and applied consistently and have made judgments and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company as at March 31, 2016 and of the profit and loss of the Company for the year ended March 31, 2016;

(c) Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

(d) The annual accounts have been prepared on a going concern basis;

(e) Proper systems are devised to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively

24. **Acknowledgements**

Your Directors place on record their appreciation for the assistance and co-operation extended by the holding Company Dow Chemical Pacific (Singapore) Pte. Ltd., during the year under review.

Your Directors would like to place on record their appreciation for the contribution made by the employees at all levels.

For and on behalf of the Board of Directors

Director **Director**

Mumbai
September 26, 2016

Annexure I

FORM NO. MGT 9

EXTRACT OF ANNUAL RETURN

As on financial year ended on 31.03.2016

Pursuant to Section 92 (3) of the Companies Act, 2013 and rule 12(1) of the Company (Management & Administration) Rules, 2014.

I. Registration and other details:

1.	CIN	U24239MH1998PTC113551
2.	Registration Date	13.02.1998
3.	Name of the Company	Dow Chemical International Pvt. Ltd
4.	Category/Sub-category of the Company	Pvt. Ltd Co.
5.	Address of the Registered office & contact details	1st Floor , Block B , 02 Godrej Business District, Pirojashah Nagar , Vikhroli West, Mumbai - 400079 Maharashtra, India
6.	Whether listed company	No
7.	Name, Address & contact details of the Registrar & Transfer Agent, if any.	Not Applicable

II. Principal business activities of the Company

Sr. No.	Name and Description of main products / services	NIC Code of the Product/service	% to total turnover of the company
1.	Polyurethane Systems	20131	54.82
2.	Dow Coating materials	20229	32.49
3.	Services (rebills) & others	46691	12.69

III. Particulars of Holding, Subsidiary and Associate Companies

Sr No.	Name and address of the Company	CIN/GLN	Holding/ Subsidiary/ Associates	% of Share held	Applicable Section
1.	Dow Chemical Pacific (Singapore) Pte. Ltd	Foreign Company	Holding Company	71.98	Section 2 (46) and 2 (87)

IV. **Share holding Pattern (Equity Share Capital Breakup as percentage of Total Equity)**

(i) Category-wise Share Holding

Category of Shareholders	No. of Shares held at the beginning of the year[As on 31-March-2015]				No. of Shares held at the end of the year[As on 31-March-2016]				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A. Promoters									
(1) **Indian**	-	-	-	-	-	-	-	-	-
Sub-total A (1)									
(2) Foreign									
a) NRIs- Indi.	-	-	-	-	-	-	-	-	-
b) Other indi.	-	-	-	-	-	-	-	-	-
c) Body corp.	-	2493339	2493339	100	-	3463301	3463301	100	-
d) Bank /FII	-	-	-	-	-	-	-	-	-
e) Any others	-	-	-	-	-	-	-	-	-
Sub-total A (2)	-	2493339	2493339	100	-	3463301	3463301	100	-
Total shareholding of promoter A=(A1+A2)	-	2493339	2493339	100	-	3463301	3463301	100	-
B. Public Shareholding	–	-	-	-	-	-	--	-	-
Sub–total (B)(1)	-	-	-	-	-	-	-	-	-
2.Non institution	-	-	-	-	-	-	-	-	-
Sub–total (B)(2)									
Total Public Shareholding (B) = (B)(1) + (B)(2)	-	-	-	-	-	-	-	-	-
Total (A + B)	-	2493339	2493339	100	-	3463301	3463301	100	

B) Shareholding of Promoter-

SN	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% change in shareholding during the year
		No. of Shares	% of total Shares of the company	%of Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	%of Shares Pledged / encumbered to total shares	
1	Dow Chemical Pacific (Singapore) Pte. Ltd	2493322	99.99	Nil	2493322	71.98		Nil
2.	Dow Chemical Singapore Pte. Ltd	17	0.01	Nil	17	0.01	Nil	Nil

C) **Change in Promoters' Shareholding:**

Sr. No.	Particulars	Cumulative Shareholding during the year			
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1.	At the beginning of the year	2493339	100	2493339	71.99
2.	Date-wise increase/decrease in Promoters' Shareholding during the year specifying the reasons for increase/ decrease (e.g. allotment/transfer/ bonus/sweat equity etc):	No transaction during the year			
3.	At the end of the year	2493339	100	2493339	71.99

D) Shareholding Pattern of Top Ten Shareholders (other than Directors, Promoters and Holders of GDRs and ADRs):

Sr No.	Particulars	No. of shares	% of total shares of the company
1.	Rohm And Haas India Investments ApS	969947	28.00
3.	Rohm And Haas Denmark Finance A/S	15	0.01

E) Shareholding of Directors and Key Managerial Personnel: **NIL**

F) **INDEBTEDNESS** -Indebtedness of the Company including interest outstanding/accrued but not due for payment.

(Amount in Rupees)

Particulars	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year	-	-	-	-
i) Principal Amount	-	3,07,84,53,155	-	3,07,84,53,155
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	-	15,06,246	-	15,06,246
Total (i+ii+iii)	-	3,07,99,59,401	-	3,07,99,59,401
Change in Indebtedness during the financial year			-	
*** Addition**	-	24,44,15,00,000	-	24,44,15,00,000
*** Reduction**	-	26,53,10,63,425	-	26,53,10,63,425
Net Change	-	(2,08,95,63,425)	-	(2,08,95,63,425)
Indebtedness at the end of the financial year		-	-	-
i) Principal Amount	-	99,00,06,002	-	99,00,06,002
ii) Interest due but not paid	-	3,89,974	-	3,89,974
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)		99,03,95,976	-	99,03,95,976

XI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL:

A. Remuneration to Managing Director, Whole-time Directors and/or Manager: **Not applicable**
B. Remuneration to other Directors: **Not Applicable**
C. Remuneration to Key Managerial Personnel other than MD/Manager/WTD: **Not Applicable**

XII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES: **None**

Annexure II

Report on Corporate Social Responsibility (CSR)

[Pursuant to clause (o) of sub-section (3) of section 134 of the Act and Rule 9 of the Companies (Corporate Social Responsibility) Rules, 2014]

1. **Overview of CSR Policy:**

   The Company corporate social responsibility (CSR) philosophy focuses on facilitating long-term sustainable projects that have an ongoing direct impact to the overall economic and social growth and development of the local community.

   The core principles that underpin the Company's CSR activities are to:

   - Invest time and money in projects that create long-term benefits
   - Fund sustainable projects where Dow technology can be used effectively
   - Engage employees to contribute to the communities in which the company operates
   - Collaborating with NGO Partners on implementation

   The Company's CSR themes:

   - Education
   - Environmental sustainability
   - Social business projects
   - Health Care

   The Company's CSR policy is led by the CSR Committee. The compliance with the policy is monitored by the CSR Committee and reviewed by the Board of Directors

2. **Composition of the Corporate Social Responsibility Committee:**

   Mr. Sudhir Shenoy- Director& CEO
   Ms. Ramolla Karnani – Director
   Mr. Subhash Mukadam- Director
   Ms. Ruby Thapar – Director – Public Affairs

Average net profit of the Company for the last three financial years: Rs. 1,198,884,268/-

Prescribed CSR Expenditure (two per cent of the amount as above): Rs. 23,977,685/-

3. **Detail of CSR spent during the financial year:**

   - **Amount Spent**: 24,619,264/-
   - **Amount unspent, if any:** NIL

Manner in which amount spend during the financial year is detailed below;

Sr. No	CSR Activity/project identified	Sector in which the project is covered	Location of Project / Program	Amount outlay (project budget)	Amount spent on Project in Rs.	Cumulative expenditure upto the reporting period in Rs.	Amount spent direct/ through implementation Agency
1	Jaipur Foot BMVSS Donation	Healthcare	Airoli, Dist. Thane, MS	15,572,310	15,572,310	15,572,310	BMVSS
2.	Jaipur Foot	Healthcare	Lote, Dist. Ratnagiri, MS	425,000	425,000	425,000	Freedom for You (NGO)
3.	Agastya Foundation	Promotion of Education	Local Area programme- Kalwa, Thane, and Lote, Dist. Ratnagiri, MS	12,70,799	12,70,799	12,70,799	Agastya Foundation
4.	Post-Ganapati Festival Cleanliness Drive	In alignment of Swachh Bharat Abhiyan	Local Area programme, Mumbai, MS	35,205	35,205	35,205	United way of Mumbai
5.	Donation of water purifier to Municipal School	Preventive healthcare	Kalwa, Dist. Thane, MS	1,15,000	1,15,000	1,15,000	Freedom for You (NGO)
6.	Scholarship to Girl Students	Education	Lote, Dist. Ratnagiri	2,50,000	2,50,000	2,50,000	Direct
7.	Chennai Flood Rehabilitation	Preventive healthcare	Chennai, TN	529,000	529,000	529,000	Nobel Laureate Mother Teresa
8.	Multiply the Massage	Education	Dist. Mumbai & Thane, MS	6,346,590	6,346,590	6,346,590	Trailblazer
9.	Misc. Expenditure	N.A.	N.A.	75,360	75,360	75,360	Direct
			Total	24,619,264	24,619,264	24,619,264	

4. The CSR Committee confirms that the implementation and monitoring of the CSR Policy, is in compliance with the CSR objectives and Policy of the Company.

Sudhir Shenoy
Director &CEO

Ramolla Karnani
Director

SIGN HE